NOTE 10: INCOME TAXES

The significant components of income before income taxes and the consolidated income tax provision (benefit) for the Company are shown in the following table:

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	For the year ended December 31, 2008	For the period June 14, 2007 through December 31, 2007	LED Effects For the period January 1, 2007 through June 13, 2007
Income (loss) before taxes and minority interest in income of subsidiary			
Domestic	$ (92,269,577)	$ (4,730,555)	$ 429,793
Foreign	(4,901,386)	(168,512)	32,246
Total	$ (97,170,963)	$ (4,899,067)	$ 462,039
Income tax expense (benefit)			
Current provision			
Federal	—	—	$ 121,176
State	—	—	45,331
Current income tax expense	$ —	$ —	$ 166,507
Deferred income tax expense (benefit)			
Federal	$ (1,264,436)	—	$ 890
State	—	—	(6,117)
Foreign	(943,071)	—	10,964
Deferred income tax expense (benefit)	$ (2,207,507)	$ —	$ 5,737
Income tax expense (benefit)	$ (2,207,507)	$ —	$ 172,244

The following table presents a reconciliation of the actual income tax expense (benefit) to the amount calculated applying the United States Federal statutory tax rate of 35%. As LED Effects was a private company during the period January 1, 2007 through June 13, 2007, no comparative income tax rate reconciliation is included for its income tax expense.

	For the year ended December 31, 2008	For the period June 14, 2007 through December 31, 2007
Loss before taxes and minority interest in income of subsidiary	$ (97,170,963)	$ (4,899,067)
Income tax benefit applying United States federal statutory rate	$ (33,038,127)	$ (1,665,683)
Permanent differences		
Impairment charge	18,057,445	—
Other	134,060	(91,603)
Increase in valuation allowance	12,478,941	2,576,446
Rate difference between United States federal statutory rate and Netherlands statutory rate	355,136	—
Income tax benefit eliminated by IRS Section 382 limitation	—	(762,012)
Other	(194,961)	(57,148)
Income tax benefit recorded	$ (2,207,507)	—

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At the time of the reverse merger transaction and resulting change in control, the Company had accumulated approximately $75,000,000 in tax loss carryforwards. As a result of the change in control, the Company will be limited in the amount of loss carryforwards that it may apply to its taxable income in any tax year. These net losses expire from 2012 through 2028. To the extent the Company is able to utilize available tax loss carryforwards that arose from operations in tax years prior to September 26, 2003, any benefit realized will be credited to additional paid in capital.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The significant components of the Company's deferred tax assets and liabilities are as follows:

	December 31, 2008	December 31, 2007
Deferred tax assets		
Net operating loss carryforwards	$ 22,551,486	$ 11,176,327
Net operating loss carryforward recorded by foreign subsidiary	923,988	—
Stock options	1,186,205	808,242
Inventories	729,808	—
Accounts receivable	33,435	—
Accrued liabilities	217,441	—
Other	—	44,435
Total deferred tax assets	25,642,362	12,029,003
Less: valuation allowance	(24,507,944)	(12,029,003)
Net deferred tax assets	$ 1,134,418	$ —
Deferred tax liabilities		
Derivatives	$ (96,879)	$ —
Intangible assets	(2,414,831)	—
Total deferred tax liabilities	(2,511,710)	—
Net deferred tax liabilities	$ (1,377,292)	$ —

At December 31, 2008, the Company had the following operating income tax loss carryforwards available to offset future income taxes, subject to expiration:

Year of Expiration	United States Income Tax Loss Carryforwards	The Netherlands Income Tax Loss Carryforwards
2012	$ 2,293,432	$ —
2016	—	3,695,951
2018	2,293,432	—
2019	2,293,432	—
2020	2,293,432	—
2021	2,293,432	—
2022	2,293,432	—
2023	2,293,432	—
2024	2,293,432	—
2025	2,293,432	—
2026	2,293,432	—
2027	9,937,230	—
2028	33,456,349	—
Total	$ 66,327,899	$ 3,695,951

Prior to entering into the Exchange Agreement, all operations of LED Holdings were carried through a limited liability corporation ("LLC"). As a result, all income taxes related to the income of LED Holdings business for the period June 14, 2007 through October 3, 2007 is passed through to the LED Holdings members. As the income taxes payable or recoverable related to the operations of LED Holdings was passed through to its stockholders, the Company has not recorded a tax provision for either current or deferred taxes during this period. The Company has also not included in the table above any tax loss carryforwards or the offset of any taxable income against such tax loss carryforwards, related to the operation of its business for the period June 14, 2007 through October 3, 2007.